

S3 Capital's \$111M Miami Loan Shows Private Credit Is Picking the Right Spots

A construction loan for a luxury tower reveals where private debt is willing to go and why.

Inside the \$111 million financing

\$111 million

Debt / financing

\$8 million

Key figure

\$24,000

Key figure

It is the land basis

The most important number in S3 Capital's \$111 million construction loan for a Miami luxury tower is not the loan amount. It is the land basis. Argentine developer HA Emprendimientos paid \$8 million for the site at 114-138 NE 22nd Street in December 2023. That is roughly \$24,000 per unit for a 36-story, 328-unit project in Edgewater, one of Miami's most supply-constrained submarkets. The basis is the reason this loan exists.

S3 Capital is willing to finance construction because the developer's land cost leaves

Private credit is not lending on pro formas. It is lending on entry price. S3 Capital is willing to finance construction because the developer's land cost leaves enough margin to absorb cost overruns, rent softening, or a slower lease-up. The lender is not betting on Miami's skyline. It is betting on a balance sheet that can survive a mistake.

Completion is slated for late 2028

The project, Sense 22, will deliver 262,000 net rentable square feet with an average unit size of 799 square feet. Completion is slated for late 2028. That timeline matters. By then, the current wave of Miami multifamily deliveries will have been absorbed or proven overbuilt. The developer is not racing to catch a peak. It is positioning for the next cycle.

The loan also reveals where construction debt is available and where it is not

S3 Capital's Steven Jemal cited the Florida Live Local Act's tax advantages and recent absorption trends as factors. That is the public rationale. The private rationale is simpler: the developer's basis is low enough that the debt yield can survive a downturn. Private credit lenders underwrite to the downside first. This deal passes that test. The loan also reveals where construction debt is available and where it is not.

JLL's Max La Cava negotiated the debt

Banks remain largely on the sidelines for ground-up multifamily, especially for sponsors without a long U.S. track record. HA Emprendimientos is an Argentine developer. That is not a knock. It is a fact that most bank credit committees would flag. Private credit does not have the same constraints. It can underwrite the sponsor, the basis, and the market without a regulatory checklist. JLL's Max La Cava negotiated the debt.

When a major brokerage places construction financing with a private lender, it means

That is a signal too. When a major brokerage places construction financing with a private lender, it means the agency and bank channels were either unavailable or uneconomic. The market is bifurcating: agency debt for stabilized assets, private credit for construction and transitional risk. Who benefits? HA Emprendimientos gets a path to deliver a project with a defensible cost basis.

S3 Capital gets a loan secured by a low-basis asset in a supply-constrained submarket

S3 Capital gets a loan secured by a low-basis asset in a supply-constrained submarket with tax advantages. The broader market gets another data point that construction debt is not frozen. It is just expensive and selective. Who is exposed? Any developer who bought land at peak pricing in 2021 or 2022 and is now trying to finance construction.

If the land cost is too high, the loan either does not happen or comes with equity-like pricing

That cohort will find that private credit is willing to lend, but only at a basis that makes the math work. If the land cost is too high, the loan either does not happen or comes with equity-like pricing that destroys returns. What should the market watch next? The lease-up. Sense 22 delivers in late 2028. By then, Miami's multifamily supply pipeline will have cleared or clogged.

The loan is not proof that construction financing is back

If rents hold, this deal looks prescient. If they soften, the low basis still protects the lender. That is the structure private credit is underwriting: not the best case, but a case that still works when the market is worse. The loan is not proof that construction financing is back. It is proof that construction financing is available for the right basis, the right sponsor, and the right submarket.

Everything else is still waiting

Everything else is still waiting.

Why it matters

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LIGHT TOWER GROUP
